# Questions for Bond Counsel

Tax-exemption wording and the reserved sections | July 20, 2026

**Prepared for Dennis Lanni, HGF Management Company, for transmittal to Brad Neill, Stradling**

**Date: July 20, 2026**

## Question 1: pre-launch marketing statements about tax-exempt status

Program marketing materials and the Investor Guide now describe the intended tax treatment of the notes in the following words, or close variants: the notes are intended to be issued as tax-exempt obligations, exempt from federal and California income tax; the issuer is a public agency, the special tax finances public facilities, and tax-exempt treatment is the customary pattern for California CFD obligations; bond counsel's opinion, delivered at closing, is what makes the exemption effective for a purchaser. Please confirm whether this formulation is acceptable in preliminary, pre-launch materials directed at prospective note purchasers, and mark any wording you would change. If a stronger or weaker formulation is appropriate at this stage, the program will adopt your language verbatim.

## Question 2: use of proceeds and the exemption

The program finances development impact fees for public facilities, with school fees excluded at launch. Please flag any category of commonly financed impact fee, or any feature of the annexation-and-note structure as described in the program documents, that in your view would complicate the delivery of an unqualified tax opinion at closing, so the eligible-fee list can be shaped before the pilot rather than after.

## Question 3: the two reserved sections of the Investor Guide

Chapter 4 (credit enhancements) and section 5.5 (the cash flow waterfall) of the Investor Guide are reserved pending your determinations, because completing them in marketing would mean inventing terms that counsel and the first term sheet must set. Please indicate when these determinations can be scheduled; the founder has also asked to discuss credit enhancement directly.